

these more highly valued companies in rough proportion to our conservative view of the intrinsic value of CVS's own PBM.

Company	Price (FPA Cost)	EV/Ebitda		Price/Earnings	
	2010	2011E	2012E	2011E	2012E
CVS	\$31.83	6.6x	6.1x	11.5x	10.1x
CVS (net of hedge)		5.2x	4.8x	9.4x	8.6x
Medco Containment	\$62.60	9.4x	8.0x	15.4x	12.3x
Express Scripts	\$57.42	11.1x	9.6x	17.8x	14.7x

In short, we felt whatever risks CVS faced were outweighed by a low valuation that provided both a likelihood of investment success and a margin of safety. However, successful investing requires not only getting in at a good time but exiting at a good time as well. We accumulated our CVS position in 2010, and about five years later, we concluded that we had received the full benefits of management's solid execution of its business plan, as well as the favorable macro trends we had expected. Going forward, we also felt the changing competitive landscape meant CVS would face more online retailers offering more convenience, often at better prices, and that would put pressure on the sales of its general merchandise in the front of the store.

With the price no longer compelling, we decided to sell our position in CVS in 2015. By then CVS's earnings growth and P/E multiple expansion translated into a stock price that tripled from 2010 to 2015. Meanwhile, we achieved a roughly breakeven result on the short sales.²

² CVS epilogue: Management went on to purchase Aetna in 2018, and despite their claims that this would create a more integrated solution that they could offer their customers, we felt the acquisition was defensive. Our inability to underwrite the likelihood of its success validated our earlier decision to liquidate the position.